GREEN FUTURE, INCLUSIVE GROWTH

ESG Strategy Implementation - Year 1 Executive Summary

April 2026

Executive Summary

This report presents the Year 1 performance of our comprehensive ESG (Environmental, Social, Governance) strategy, launched in April 2025. The initiative demonstrates strong financial returns alongside measurable sustainability impact, positioning our organization as a leader in responsible manufacturing.

With a total investment of ₹85 Lakh across environmental, social, and governance initiatives, we achieved ₹18.5 Lakh in first-year savings (92% of target), while significantly improving our operational sustainability footprint. Our composite ESG score of 76.8/100 places us in the "Good" category, with clear pathways to excellence.

Key Achievements - Year 1

Environmental Impact

- Reduced carbon emissions by 142 tons through solar energy adoption
- Achieved 18.5% reduction in energy costs (₹11.5L annual savings)
- Established waste recycling rate of 68%, reducing landfill waste by 60%
- Implemented real-time carbon tracking dashboard

Social Progress

- Improved employee retention from 72% to 83.5% (+16.2% improvement)
- Increased women workforce representation from 18% to 28%
- Delivered 9,800 training hours through skill development programs
- Reached 523 community beneficiaries, exceeding target by 4.6%

Governance Excellence

- Achieved 100% compliance with GRI Standards reporting
- Certified 92% of vendors (46/50) as ESG compliant
- Maintained zero compliance violations throughout the year
- Successfully resolved 2 whistleblower reports through ethics framework

Financial Performance & ROI

Our ESG initiatives demonstrate strong financial viability alongside environmental and social impact. Year 1 results show 92% achievement of projected savings targets, with clear momentum building for subsequent years.

Initiative	Investment (₹ Lakh)	Year 1 Savings (₹ Lakh)	Achievement %
Solar Energy	50	11.5	96%
Waste Management	10	2.8	93%
Employee Programs	25	4.2	84%
TOTAL	**85**	**18.5**	**92%**

5-Year Financial Projection

Based on Year 1 performance and scaling assumptions, our 5-year projection indicates:

• Total cumulative savings: ₹105 Lakh
• Return on Investment (ROI): 124%
• Average payback period: 4.2 years
• Year-over-year savings growth of 5-8% as initiatives mature

These projections assume consistent operational scale and no major regulatory or market disruptions.

ESG Composite Score

Overall Score: 76.8/100 (Good)

Our composite ESG score is calculated using weighted performance across three pillars:

Environmental (40% weight): Score 75 → Weighted contribution: 30.0
• Strong performance in energy reduction and carbon tracking
• Opportunity for improvement in waste reduction targets

Social (35% weight): Score 70 → Weighted contribution: 24.5
• Exceeded retention and community impact targets
• Women workforce representation improving but below 30% target

Governance (25% weight): Score 89 → Weighted contribution: 22.3
• Exemplary compliance and reporting standards
• Vendor certification program showing strong progress

Challenges & Learnings

- Solar energy savings slightly below target (96%) due to seasonal variations and commissioning delays in Q1
- Women workforce recruitment slower than anticipated; pipeline development required
- Four vendors failing ESG certification need development plans or replacement consideration
- Employee program uptake varied; need more targeted communication and incentives

Year 2 Roadmap

Q1-Q2 2026:
• Scale solar capacity by 30% to capture additional savings
• Achieve 100% vendor ESG compliance through development programs
• Launch enhanced diversity recruitment initiative

Q3 2026:
• Introduce second wave of employee wellness programs
• Expand community partnerships to reach 800+ beneficiaries
• Implement advanced carbon analytics with Scope 3 tracking

Q4 2026:
• Target composite ESG score of 82+ through focused improvements
• Complete comprehensive Year 2 GRI Standards report
• Conduct stakeholder engagement survey for Year 3 planning

Conclusion

Year 1 of our ESG strategy demonstrates that sustainability and profitability are mutually reinforcing. With 92% achievement of financial targets, significant environmental impact, and measurable social progress, we have established a strong foundation for continuous improvement.

Our governance framework ensures transparency and accountability, while our data-driven approach enables evidence-based decision-making. As we enter Year 2, we are well-positioned to scale these initiatives and advance toward ESG excellence.

The journey toward sustainable, inclusive growth is ongoing, and this report marks an important milestone in our commitment to stakeholders, community, and planet.